

HDFC Life Insurance Co. Ltd.

Click 2 Wealth — Unit Linked Insurance Plan (ULIP)

Product Overview

HDFC Life Click 2 Wealth is a unit-linked, non-participating life insurance plan that combines market-linked wealth creation with life insurance protection. IRDAI UIN: 101L133V03. Suitable for long-term financial goals such as retirement planning, children's education, and wealth accumulation over 10–30 years. Minimum lock-in period is 5 years as per IRDAI regulations.

Key Features

Feature	Details
Policy Term	10 to 30 years
Premium Payment Term	Regular Pay (equal to policy term) / Limited Pay (5, 7, 10 years)
Minimum Annual Premium	₹12,000 (monthly ₹1,000 via SIP)
Sum Assured	Higher of 10× annualised premium or 0.5× total premiums (for age <45)
Lock-in Period	5 years (no partial withdrawal before 5 years)
Fund Switching	Unlimited free switches between funds per year
Partial Withdrawal	Allowed after 5 years — up to 20% of fund value per year

Available Fund Options

Fund Name	Asset Allocation	Risk Profile	5-Year CAGR (Indicative)
Equity Growth Fund	80–100% Equity	High	14–18%
Balanced Advantage Fund	50–70% Equity, rest Debt	Medium	10–13%
Debt Plus Fund	80–100% Debt & Bonds	Low	7–9%
Liquid Fund	100% Money Market	Very Low	5–6%
Multi-Cap Fund	Large + Mid + Small Cap	High	15–20%

Charges

Charge Type	Amount / Rate
Premium Allocation Charge	NIL (0%) — 100% of premium invested
Policy Administration Charge	₹500/month (₹6,000/year), level throughout
Fund Management Charge (FMC)	1.35% p.a. for equity funds; 0.80% p.a. for debt funds
Mortality Charge	Age-based, deducted monthly from fund (transparent)
Partial Withdrawal Charge	NIL for first 4 withdrawals; ₹100 per withdrawal thereafter
Surrender Charge	NIL after 5-year lock-in period

Death & Maturity Benefits

- Death Benefit: Higher of (Sum Assured minus partial withdrawals) OR (Fund Value at NAV) OR (105% of total premiums paid). Paid to nominee, completely tax-free under Section 10(10D).
- Maturity Benefit: Fund Value at prevailing NAV paid as lump sum. Tax-free under Section 10(10D) provided annual premium does not exceed 10% of

sum assured. • Loyalty Additions: Extra units added to fund at end of years 5, 10, and every 5 years thereafter.

Tax Benefits

• Section 80C: Annual premiums up to ₹1,50,000 are eligible for deduction. • Section 10(10D): Death benefit and maturity proceeds are fully tax-exempt provided the annual premium is ≤10% of sum assured (for policies issued after 1 April 2012). • Note: Budget 2023 — If aggregate ULIP premium exceeds ₹2.5 lakh/year, maturity gains are taxable as LTCG at 10% (similar to equity mutual funds). Death benefit remains tax-free.

Who Should Buy

• Long-term investors (10+ year horizon) who want market-linked growth plus life cover. • Individuals planning for retirement corpus — start a ULIP at age 30 for 25-year horizon. • Parents planning for child's higher education (15–20 years away). • Minimum recommended investment: ₹3,000–₹5,000/month for meaningful wealth creation. • NOT recommended for short-term goals (under 7 years) due to charges and market volatility.

Comparison: ULIP vs. Term + Mutual Fund (Buy Term, Invest the Rest)

• ULIPs simplify investing — one product for both insurance and investment. • Post-2019 ULIP charges are highly competitive with mutual fund expense ratios. • However, for disciplined investors, Term + Direct Mutual Fund may offer higher net returns. • ULIPs have an advantage in estate planning — death benefit bypasses succession laws.

IRDAI Reg. No. 101 | Market-linked products do not offer guaranteed returns. Past performance is not indicative of future results.